CSL Limited (ASX:CSL)

Cross-scenario valuation — discussion document

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Headline conclusion

Applied without intervention, the framework values CSL well above where it trades. Muddle Through — the central, most-likely case — is **USD 134.52 / AUD 203.83 per share**, a **93 per cent premium** to the market price of AUD 105.53. Every one of the six scenarios, including the Stagflation downside boundary at AUD 159.90, sits above market. The distribution is deliberately narrow and only mildly downward-skewed — a downside/upside asymmetry of **1.31×** — which is the correct signature for a price-inelastic, defensive franchise, and far below DNL's cyclical 4.05× or WBC's 1.83×.

The premium is the finding, not an embarrassment to be tuned away. A §3.5.7 reverse-DCF shows that no single plausible assumption reconciles the framework to the market: to justify today's price the market must believe a cost of equity near 13 per cent (β ≈ 1.7), or a terminal margin near half CSL's actual level, or perpetual contraction — none credible standing alone. The market is pricing a permanent de-rating of the franchise; the framework, pricing CSL as a still-premium compounder, disagrees. Per §16 that gap is an informative output, and β has been deliberately held at 0.85 to keep the framework repeatable.

Key observations

1. **A margin story, not a volume story.** Plasma demand is essentially price-inelastic; in every scenario the plasma keeps flowing, so the scenarios transmit through margins (US donor-collection wages, energy/carbon cost) and policy (Medicare Part D), not through volumes.
2. **Terminal-heavy.** Terminal value is 73–77 per cent of enterprise value; the valuation turns on the durability of the ~30 per cent terminal margin and 3 per cent growth, not on the explicit five-year path.
3. **The whole distribution sits above market.** The central question is therefore not “what is CSL worth” but “why does a rules-based framework land so far above the price, and which view is right”.
4. **Two corrections this version.** The v3 terminal-margin fix (30 per cent now binding, not capitalising a peak) and the v4 terminal-capex fix (capex = D&A in perpetuity) both pull the number toward defensibility on their own merits.

1. Flow of logic

The valuation runs the standard chain: world scenario → industry-archetype translation → company position via the Five Forces → discounted cash flow. CSL is valued at **segment level** because its three businesses have materially different growth, margin and risk profiles — CSL Behring (plasma-derived therapies, ~72 per cent of revenue), Seqirus (influenza vaccines) and Vifor (iron deficiency and nephrology) — and a single blended growth rate would obscure the very channels the scenarios act on.

Step 1 — World scenarios. Six states of the world, one interior most-likely case (Muddle Through) and five boundary cases spanning the plausible range.

Step 2 — Industry translation. Each segment maps to an archetype (plasma-derived therapies, vaccines, specialty pharmaceuticals) whose secular growth and margin behaviour respond to the scenario macro.

Step 3 — Company position via Five Forces. CSL's position relative to each archetype is captured as explicit margin and growth offsets, not a catch-all adjustment (see §3).

2. World scenarios — and how each reaches CSL

Muddle Through (interior, most-likely) — USD 134.52 / AUD 203.83

Post-2022 friction persists without crushing demand; US growth 2–2.5 per cent, inflation sticky. Plasma resumes its secular 5–7 per cent path once the near-term Behring trough (Medicare Part D redesign and a China access soft patch) annualises out across FY26–27. Vertical plasma integration and fractionation scale hold the margin; the peer-gap closure overlay adds +150bps to Behring by FY31. Terminal margin 30 per cent, growth 3 per cent. The number lands +93 per cent above market not because the path is heroic — near-term lines sit on consensus — but because the terminal capitalises a ~22× forward-earnings compounder against a market trading it at ~11×.

Orderly Convergence (upside boundary) — USD 156.61 / AUD 237.29, +16.4%

Inflation re-anchors, real rates normalise, a productivity surprise eases cost pressure. CSL exits the Behring trough faster and collection-cost relief makes the full +250bps peer-gap closure credible. Terminal margin 31.5 per cent, growth 3.25 per cent. The upside is modest by construction — a defensive staple cannot accelerate the way a cyclical recovers; there is no operating-leverage explosion in plasma.

AI Productivity Lag (technology boundary) — USD 131.03 / AUD 198.53, −2.6%

Gains concentrate in platform owners and show up as white-collar wage containment — a mild tailwind to CSL's ~USD 1bn G&A and ~USD 1.4bn R&D base — offset by softer macro and a lower terminal growth rate (2.875 per cent). The two roughly cancel; the technology axis barely touches a plasma franchise, which is the right answer.

Disorderly Climate Crystallisation (climate boundary) — USD 115.36 / AUD 174.79, −14.2%

Carbon-cost pass-through runs inflation at 3–5 per cent. CSL is exposed through cost — energy-intensive fractionation and a cold-chain distribution network — not demand. The one genuine portfolio offset sits here: Seqirus carries pandemic and health-disruption optionality, lifting vaccine demand. Terminal margin 28 per cent, growth 2.75 per cent. The Seqirus cushion is why this lands better than Fragmentation despite the larger headline cost shock.

Fragmentation and Resource Nationalism (geopolitical boundary) — USD 111.03 / AUD 168.23, −17.5%

Trade barriers harden and China access becomes a geopolitical instrument. CSL's collect-in-the-US, distribute-globally model is structurally awkward in a fragmenting world, and Behring's China immunoglobulin line is the most exposed revenue. Peer-gap closure stalls (uplift to zero) and the effective tax rate drifts to 20 per cent as cross-border efficiencies erode. With no offsetting segment, the channels compound — the binding downside short of stagflation.

Stagflation Persists (macro-downside boundary) — USD 105.53 / AUD 159.90, −21.5%

Inflation un-anchors above 4 per cent, growth recesses, an energy shock lands. The clearest illustration of the thesis: plasma demand still holds — these are essential therapies — so the entire stress arrives as margin. US donor-collection wages surge (supplier power at full stretch), payors press on price (Part D with no relief), and closure reverses, with Behring margin 150bps below the FY25 base. Terminal margin 26.5 per cent. The revenue line is almost indistinguishable from Muddle Through; the whole fall is the squeeze between donor cost and payor price.

3. Segment growth and CSL position via the Five Forces

CSL's company position is expressed as explicit offsets to each segment archetype. For CSL Behring, the net offset is +15bps on margin and nil on revenue growth — the industry-level secular demand is the dominant driver, and CSL captures it plus a modest scale-and-integration margin edge.

Supplier power — favourable (+5bps margin)

Plasma “suppliers” are individual donors at CSL's collection centres, and CSL runs the largest network in the world. Vertical integration lowers supplier power in normal times (and the closure of 22 underperforming centres in FY26 is the variable-cost management it affords) — but it makes the margin sensitive to US frontline wage inflation, which is the channel that does the damage in Stagflation.

Buyer power — moderate (Medicare Part D the live pressure)

Buyers are payors; plasma therapies are essential and largely price-inelastic in volume, limiting how far payors can push. The live pressure is the Medicare Part D redesign — roughly USD 100m on immunoglobulin in 1H26 — which sits behind the near-term trough in every scenario and the deeper squeeze in Stagflation and Fragmentation.

Rivalry — favourable (+10bps margin), and the terminal

The plasma industry is a global oligopoly (CSL Behring, Grifols, Takeda, Octapharma, Kedrion) in which CSL is typically the largest by revenue, converting scale into lower marginal cost via fractionation efficiency. This is the +10bps rivalry offset — and, more importantly, the assumption underwriting the 30 per cent terminal margin. Because the terminal is ~three-quarters of value, whether that scale-margin edge is durable moves the valuation more than any near-term line.

New entrants and substitutes — low

Entry is constrained by manufacturing and collection scale plus regulatory licensing; therapeutic substitutes for plasma-derived therapies are few (recombinant alternatives are mostly haemophilia-specific; biosimilar plasma is technically very hard), with only long-horizon substitution risk from mRNA, cell and gene therapies.

4. Key calibration anchors

Anchor	Value	Source / note
Group revenue FY25	USD 15,558m	Behring 11,158 / Seqirus 2,166 / Vifor 2,234
Group EBIT margin FY25	~27.5%	Segment OR less corporate / R&D
Cost of equity (selected)	8.75%	Re = 4.50% + 0.85 × 5.00%
β measured / selected	0.094 / 0.85	Measured unreliable; selected via peer triangulation §3.5.3
Terminal EBIT margin	30.0%	Binding (v3); scale + closure held to perpetuity
Terminal growth g	3.0%	US nominal-GDP-adjacent
Terminal capex / revenue	6.0% (= D&A)	v4 steady-state reinvestment consistency
Net debt at anchor	USD 9,100m	~1.8× EBITDA (1H26 close)
Restructuring cash to come	USD 507m	FY26–27, PV at Re; §4.4
Shares outstanding	478.9m	—
Market reference price	AUD 105.53 (≈USD 69.65)	~61% below 52-week high AUD 269

Anchor	Value	Source / note
Consensus normalised EPS FY26	USD 6.28	Implies a market forward P/E of ~11×

5. Cost of equity build

Beta is selected by peer triangulation, not the mechanical measured value. CSL's measured β of 0.094 (EODHD) is discarded as unreliable — a USD-revenue franchise measured against an AUD index. The defensive-healthcare peer cluster (Grifols, Takeda, Sanofi) sits at 0.7–0.9; **β is selected at 0.85**, and held there for repeatability.

Component	Value
Risk-free rate (10y US Treasury)	4.50%
Equity risk premium	5.00%
Beta (peer-triangulated)	0.85
Cost of equity Re	8.75%

A single discount rate of 8.75 per cent is held across all six scenarios per the single-WACC discipline (§3.5): scenario risk is priced in the cash-flow paths, not the rate. Terminal growth is scenario-conditional; the discount rate is not.

6. Muddle Through valuation — FCFF discounted cash flow

Each segment's revenue compounds on its scenario growth path (Behring on a six-year J-curve from −1 per cent in FY26 to 5.5 per cent by FY29; Seqirus and Vifor on steady CAGRs), with operating-result margins gliding linearly to FY31 under the peer-gap closure overlay. Group EBIT rolls up the segment results less corporate and R&D. Free cash flow to the firm is NOPAT plus D&A less capex less the working-capital change; the explicit FY27–FY31 flows are discounted at mid-period, and a Gordon terminal is struck off the normalised FY31 position with capex set equal to D&A. The equity bridge deducts net debt (USD 9,100m) and restructuring cash to come (USD 507m), and the result is divided by 478.9m shares and translated to AUD at spot.

Muddle Through yields **USD 134.52 / AUD 203.83 per share**. Near-term lines sit on top of 16-analyst consensus; the divergence from the market is entirely in the terminal.

7. Per-scenario impact, asymmetry, and the market gap

Scenario	USD	AUD	vs Market	vs MT
Orderly Convergence	156.61	237.29	+125%	+16.4%
Muddle Through	134.52	203.83	+93%	—
AI Productivity Lag	131.03	198.53	+88%	−2.6%
Disorderly Climate	115.36	174.79	+66%	−14.2%
Fragmentation	111.03	168.23	+59%	−17.5%
Stagflation Persists	105.53	159.90	+52%	−21.5%

Upside (Orderly − MT) is USD 22.08; downside (MT − Stagflation) USD 28.99; the **asymmetry ratio is 1.31×** — a narrow, defensive distribution.

The market-implied cross-check (§3.5.7)

Reversing the DCF onto the market price, holding everything at Muddle Through and solving one lever at a time, shows what the price must believe:

To justify the market price on…	Implied value	Plausibility
…the discount rate alone	Re ≈ 13% (β ≈ 1.7)	Implausible — peers at 0.7–0.9
…the terminal margin alone	≈ 13.5%	Implausible — ~half the FY25 level
…terminal growth alone	≈ −4% in perpetuity	Implausible — essential-therapy contraction

No single lever at a plausible value reconciles to market; the price can only be reached by stacking pessimism across all three at once. The framework declines to do so. The honest reading holds two interpretations open: the framework's β of 0.85 is the most defensible single candidate for a merit-based correction (a stressed β of 1.2 would take Muddle Through to ~AUD 155 and close about half the residual), but it has been **held at 0.85** to keep the framework rules-based; and the market may simply be pricing a permanent franchise de-rating that the framework, on its merits, rejects. The multiples frame the disagreement: ~22× forward earnings (framework) versus ~11× (market), against a franchise that historically traded in the high-20s to 30×.

Mental short-cut

CSL is a margin story. In every scenario the plasma keeps flowing, so watch the gap between what CSL pays US donors and what payors will let it charge — the six scenarios are six settings of that one dial, and they all cash out in the terminal margin, where three-quarters of the value lives. The whole investment debate is whether the de-rating from ~22× to ~11× is permanent impairment or a policy-and-cost trough; this framework, applied without intervention, takes the second view while showing exactly what you would have to believe to take the first.

Companion workbooks: csl_muddle_through_valuation_v4.xlsx; csl_scenarios_comparison_v2.xlsx (six scenarios + §3.5.7 market-implied tab). Thesis: analyses/csl/thesis.md. Status: calibration draft for review, 25 June 2026; β held at 0.85 per Stephen's decision.